Q.1 If an asset is exchanged with another asset and commercial substance does not exist, the cost of asset taken through exchange is _____ of asset given up.

A. Market value

B. Fair value

C. Carrying value

D. Purchase price

Q.2 A receivables ledger control account had a closing balance of Rs.9,000. A dishonored cheque of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

A. Rs. 9,500 debit

B. Rs. 8,000 debit

C. Rs. 8,500 debit

D. Rs. 10,000 debit

Q.3 All of the following items may appear in Trade receivable control account EXCEPT:

A. Credit Purchases

B. Discount allowed

C. Bad debts

D. Cash received from debtors

Q.4 _____ is debited for closing the commission income for the period.

A. Accrued commission

B. Commission expense

C. Commission income

D. Income statement

Q.5 All of the following items may appear in Trade payable control account EXCEPT:

A. Credit purchases

B. Discount received

C. Cash paid to creditors

D. Cash purchases

Q.6 In case of writing off debtors as bad debt, _____ is debited.

A. Provision account

B. Payable account

C. Bad debts account

D. Receivable account

Q.7 A payables ledger control account had a closing balance of Rs.9,000. A credit sales of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 9,000 credit

B. Rs. 8,000 credit

C. Rs. 10,000 credit

D. Rs. 8,500 credit

Q.8 _____ is credited for closing the commission income for the period.

A. Income statement

B. Commission expense

C. Commission income

D. Accrued commission

Q.9 All of the following are the deprecation methods for tangible fixed assets EXCEPT:

A. Sum of years digit method

B. Number of service hours method

C. Fair value method

D. Number of units output method

Q.10 While preparing a Debtors Control Account, Credit side posted items cause:

A. Both increase and decrease in debtors' balance

B. Increase in creditors' balance

C. Decrease in debtors' balance

D. Increase in debtors' balance

Q.1 Advance receipt at the end of the period is treated as:

A. Liability

B. Drawings

C. Assets

D. Expenses

Q.2 _____ is charged to profit and loss account.

A. long term loan

B. Capital

C. Drawings

D. Bad debts account

Q.3 _____ is posted in credit side of debtors account.

A. Trade discount

B. Balance b/f of debtors

C. Purchases return

D. None of the given options

Q.4 All of the following items appear on debit side of Trade payable control account EXCEPT:

A. Credit purchases

B. Discount received

C. Cash paid to creditors

D. Purchases return

Q.5 All of the following items may appear in Trade payable control account EXCEPT:

A. Discount received

B. Bad debts

C. Purchases return

D. Cheques paid to creditors

Q.6 All of the following items appear on debit side of Trade receivable control account EXCEPT:

A. Credit sales

B. Cheques dishonored

C. Interest charged to debtors

D. Discount allowed

Q.7 A payables ledger control account had a closing balance of Rs.9,000. A credit sales of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 9,000 credit

B. Rs. 8,000 credit

C. Rs. 10,000 credit

D. Rs. 8,500 credit

Q.8 Which of the following is a Tangible fixed asset?

A. Car held for rent

B. Outlet where products are displayed

C. All of the given options

D. Factory Workshop

Q.9 Income earned but not received till the end of the accounting period is treated in balance sheet as:

A. Asset

B. Capital

C. Drawing

D. Liability

Q.10 Debtors which might become bad in future is known as_____.

A. Doubtful debt

B. Bad debt

C. Sundry debtors

D. Long term debts

Q.1 Salaries expense of Rs. 5,000 is recorded as Rs. 500. What will be its effect on net profit?

A. Understated by Rs. 4,500

B. No effect

C. Overstated by Rs. 5,000

D. Overstated by Rs. 4,500

Q.2 Current year's depreciation of furniture is a/an _____.

A. Contra asset account

B. Asset account

C. Expense account

D. Liability account

Q.3 Control accounts are usually maintained by:

A. Sole proprietors

B. Large organizations

C. Partnerships

D. Non-profit businesses

Q.4 Unconsumed office supplies are considered as:

A. Inventory

B. Financial expense

C. Admin expense

D. Selling expense

Q.5 If some financial information is completely forgotten to record in the books of original entry, such error is known as:

A. Error of original entry

B. Error of commission

C. Error of omission

D. Error of principle

Q.6 Mr. X receives a discount of Rs. 50 from a supplier. The discount is debited to discount allowed account. What will be its effect on net profit?

A. Understated by Rs.100

B. Understated by Rs.50

C. Overstated by Rs.100

D. No effect

Q.7 A creditors' control account is used to record all the transactions related to:

A. Cash purchases

B. Cash sales

C. Credit purchases

D. Credit sales

Q.8 All of the following items may appear in Trade payable control account EXCEPT:

A. Discount received

B. Bad debts

C. Cheques paid to creditors

D. Purchases return

Q.9 Which of the following is an error of omission?

A. Purchase of vehicle is recorded in repairs account

B. Bank charges being deducted by the bank without our knowledge

C. A payment to a debtor Mr. A is recorded in the account of another debtor Mr. B

D. A receipt of Rs. 50,000 from a debtor is recorded as Rs. 5,000 in his account

---

Q.10 In a manufacturing concern, salary of supervisor is included in _____.

A. Selling expenses

B. Administrative expense

C. Operating expense

D. Cost of goods sold

Q.1 Discount received from a creditor is Debited under main head:

A. Expenses
B. Income
C. Liabilities
D. Assets

Q.2 Sales return account is a/an _____.

A. Expense item
B. Contra item
C. Liability item
D. Purchase item

Q.3 Income = ?

A. Profit – expenses
B. Expenses – profit
C. Assets + profit
D. Loss + expenses

Q.4 A new accountant of ABC Corporation has prepared the trial balance. But there is difference in total of both sides of trial balance; such difference can be due to:

A. All of the given options
B. Under casting of a ledger account
C. Over casting of a ledger account
D. Omission of a particular account's balance in trial balance

---

Q.5 Which of the following is a Revenue expenditure?

A. Long term loan from bank
B. Payment of salaries
C. Purchase of a building
D. Sales revenue

Q.6 Discount allowed to a debtor is credited under main head:

A. Income
B. Liabilities
C. Expenses
D. Assets

Q.7 Expired portion of direct cost is treated as:

A. Expense
B. Liability
C. Cost
D. Income

Q.8 A payables ledger control account had a closing balance of Rs.9,000. A credit purchase of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 8,000 credit
B. Rs. 8,500 credit
C. Rs. 9,500 credit
D. Rs. 10,000 credit

Q.9 Purchases Rs. 500, Returns inwards Rs. 50, Gross Sales Rs. 700 and Gross Profit Rs. 100, Net Purchases =?

A. Rs. 550
B. Rs. 450
C. Rs. 650
D. Rs. 500

Q.10 A receivables ledger control account had a closing balance of Rs.9,000. Credit purchases of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

A. Rs. 9,000 debit
B. Rs. 8,000 debit
C. Rs. 9,500 debit
D. Rs. 8,500 debit

Q.1 Discount received from a creditor is Debited under main head:

A. Expenses
B. Income
C. Liabilities
D. Assets

Q.2 Sales return account is a/an _____.

A. Expense item
B. Contra item
C. Liability item
D. Purchase item

Q.3 Income = ?

A. Profit – expenses
B. Expenses – profit
C. Assets + profit
D. Loss + expenses

Q.4 A new accountant of ABC Corporation has prepared the trial balance. But there is difference in total of both sides of trial balance; such difference can be due to:

A. All of the given options
B. Under casting of a ledger account
C. Over casting of a ledger account
D. Omission of a particular account's balance in trial balance

---

Q.5 Which of the following is a Revenue expenditure?

A. Long term loan from bank
B. Payment of salaries
C. Purchase of a building
D. Sales revenue

Q.6 Discount allowed to a debtor is credited under main head:

A. Income
B. Liabilities
C. Expenses
D. Assets

Q.7 Expired portion of direct cost is treated as:

A. Expense
B. Liability
C. Cost
D. Income

Q.8 A payables ledger control account had a closing balance of Rs.9,000. A credit purchase of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 8,000 credit
B. Rs. 8,500 credit
C. Rs. 9,500 credit
D. Rs. 10,000 credit

Q.9 Purchases Rs. 500, Returns inwards Rs. 50, Gross Sales Rs. 700 and Gross Profit Rs. 100, Net Purchases =?

A. Rs. 550
B. Rs. 450
C. Rs. 650
D. Rs. 500

Q.10 A receivables ledger control account had a closing balance of Rs.9,000. Credit purchases of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

A. Rs. 9,000 debit
B. Rs. 8,000 debit
C. Rs. 9,500 debit
D. Rs. 8,500 debit

Q.1 Drawings account is a/an _____.

A. Liability item
B. Expense item
C. Assets item
D. Contra item

Q.2 Accumulated depreciation of furniture is a/an _____.

A. Expense account
B. Contra asset account
C. Asset account
D. Liability account

Q.3 Direct cost is also known as:

A. Factory overhead cost
B. Prime cost
C. Conversion cost
D. Cost of sales

Q.4 Salaries expense of Rs. 5,000 is recorded as Rs. 500. What will be its effect on net profit?

A. Overstated by Rs. 4,500
B. No effect
C. Overstated by Rs. 5,000
D. Understated by Rs. 4,500

Q.5 Sole proprietor can prepare following financial statements as final accounts:

A. Balance sheet & income statement
B. Balance sheet & notes to the financial statements
C. Balance sheet & statement of cash flows
D. Balance sheet & statement of changes in equity

Q.6 A receivables ledger control account had a closing balance of Rs.9,000. Credit purchases of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

A. Rs. 9,000 debit
B. Rs. 8,000 debit
C. Rs. 8,500 debit
D. Rs. 9,500 debit

Q.7 The unexpired portion of direct cost is treated as:

A. Income

B. Liability

C. Cost

D. Expense

Q.8 Bank charges of RS. 1,000 have been deducted by the bank without our knowledge. What will be its effect on net profit?

A. Understated by Rs. 1,000

B. Understated by Rs. 2,000

C. Overstated by Rs. 1,000

D. No effect

Q.9 A creditors' control account is used to record all the transactions related to:

A. Credit sales

B. Credit purchases

C. Cash purchases

D. Cash sales

Q.10 A payables ledger control account had a closing balance of Rs.9,000. A credit sales of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 9,000 credit

B. Rs. 8,000 credit

C. Rs. 10,000 credit

D. Rs. 8,500 credit

Q.1 Expired portion of direct cost is a part of_____.

A. Cost of sales

B. Financial expense

C. Operating expense

D. Selling expense

Q.2 Shipping supplies consumed is considered as:

A. Cost of sales

B. Financial expense

C. Selling expense

D. Admin expense

Q.3 A receivables ledger control account had a closing balance of Rs.9,000. A dishonored cheque of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

A. Rs. 8,000 debit

B. Rs. 9,500 debit

C. Rs. 8,500 debit

D. Rs. 10,000 debit

Q.4 Factory overhead cost = Power & fuel cost + _____.

A. Direct material cost

B. Other direct cost

C. Indirect material cost

D. Direct labor cost

Q.5 Discount received from a creditor is Debited under main head:

A. Liabilities

B. Expenses

C. Income

D. Assets

Q.6 A debtors' control account is used to record all the transactions related to:

A. Credit purchases

B. Cash purchases

C. Credit sales

D. Cash sales

Q.7 While preparing a Debtors Control Account, Debit side posted items cause:

A. Decrease in debtors' balance

B. Increase in creditors' balance

C. Increase in debtors' balance

D. Both increase and decrease in debtors' balance

Q.8 Purchase of building costing Rs. 500,000 is recorded in repairs account. What will be its effect on net profit?

A. Overstated by Rs. 500,000

B. Understated by Rs.500,000

C. No effect

D. Understated by Rs. 1000,000

Q.9 A control account is an individual account that appears in the _____.

A. Journal

B. Invoice

C. Trial balance

D. General ledger

Q.10 Purchases Rs. 500, Returns inwards Rs. 50, Gross Sales Rs. 700 and Gross Profit Rs. 100, Net Purchases =?

A. Rs. 500

B. Rs. 650

C. Rs. 450

D. Rs. 550

MGT101 - Quiz No.03

Date: 05 January 2026

Q.1 Purchase of building costing Rs. 500,000 is recorded in repairs account. What will be its effect on net profit?

A. Understated by Rs. 1000,000

B. No effect

C. Understated by Rs.500,000

D. Overstated by Rs. 500,000

Q.2 Which of the following is an error of principle?

A. A payment to a debtor Mr. A is recorded in the account of another debtor Mr. B

B. A receipt of Rs. 50,000 from a debtor is recorded as Rs. 5,000 in his account

C. Bank charges being deducted by the bank without our knowledge

D. Purchase of vehicle is recorded in repairs account

Q.3 Which one of the following is INCORRECT about closing stock?

A. It is deducted from material available for use

B. It becomes opening stock of next year

C. It is added into current assets

D. It reduces the resources of business

Q.4 While preparing a Debtors Control Account, Debit side posted items cause:

A. Increase in debtors' balance

B. Increase in creditors' balance

C. Both increase and decrease in debtors' balance

D. Decrease in debtors' balance

Q.5 While preparing a Creditors Control Account, Credit side shows the items that will cause:

A. Increase in creditors' balance

B. Decrease in creditors' balance

C. Increase in debtors' balance

D. Both increase and decrease in creditors' balance

Q.6 All of the following items may appear in Trade receivable control account EXCEPT:

A. Discount allowed

B. Cash received from debtors

C. Cash sales

D. Bad debts

Q.7 Office supplies consumed is considered as:

A. Selling expense

B. Cost of sales

C. Admin expense

D. Financial expense

Q.8 Drawings account is a/an _____.

A. Liability item

B. Assets item

C. Contra item

D. Expense item

Q.9 Which of the following is an error of commission?

A. Bank charges being deducted by the bank without our knowledge

B. A receipt of Rs. 50,000 from a debtor is recorded as Rs. 5,000 in his account

C. A payment to a debtor Mr. A is recorded in the account of another debtor Mr. B

D. Purchase of vehicle is recorded in repairs account

Q.10 Shipping supplies consumed is considered as:

A. Admin expense

B. Selling expense

C. Financial expense

D. Cost of sales

Q.1 Expense account is closed at the end of the accounting period in:

A. Income statement

B. Income account

C. General Journal

D. Balance sheet

Q.2 _____ is posted in debit side of receivable account.

A. Cash purchase

B. Balance b/f of receivable

C. Balance c/f of receivable

D. Cash sales

Q.3 Property, Plant and Equipment include:

A. Assets to be used in selling of goods or services

B. Assets held for production of goods or services

C. All of the given options

D. Assets used for administrative purposes

Q.4 At the end of the accounting period, income and expense accounts are closed in:

A. Asset account

B. General Journal

C. Income statement

D. Balance sheet

Q.5 Accrued income at the end of the period is treated as:

A. Drawings

B. Liability

C. Asset

D. Expense

Q.6 If an asset is exchanged with another asset and commercial substance does not exist, the cost of asset taken through exchange is _____ of asset given up.

A. Market value

B. Carrying value

C. Purchase price

D. Fair value

Q.7 If cost of equipment is Rs. 108,000, useful life is 10 years and its residual value is Rs. 8,000. Then Deprecation for the 3rd year using straight line method is _____.

A. Rs. 8,000

B. Rs. 9,800

C. Rs. 10,000

D. Rs. 8,820

Q.8 Expense due at the end of the period is treated as:

A. Income

B. Assets

C. Drawings

D. Liability

Q.9 ABC Corporation has recently purchased a used production plant. Its purchase price is Rs. 100,000; cost incurred to remove plant from site Rs. 4,000 and installation cost is Rs. 5,000. It will be initially recognized in books at Rs. _____.

A. Rs. 105,000

B. Rs. 104,000

C. Rs. 109,000

D. Rs. 100,000

Q.10 If cost of a plant is Rs. 120,000, total estimated hours are 15,000 and residual value is Rs. 20,000. Then depreciation rate per hour is _____.

A. Rs. 8 per hour

B. Rs. 6.67 per hour

C. Rs. 1.33 per hour

D. Rs. 6 per hour

Q.1 Income received in advance at the end of the period is treated as:

A. Liability
B. Drawings
C. Asset
D. Income

Q.2 Mostly, control accounts are maintained for:

A. Trade payables
B. All of the given options
C. Inventory
D. Trade receivables

Q.3 In case of goods sold on credit basis, _____ is credited.

A. Sales account
B. Payable account
C. Bank account
D. Receivable account

Q.4 Income earned but not received till the end of the accounting period is treated in balance sheet as:

A. Liability
B. Drawing
C. Asset
D. Capital

Q.5 In case of decrease in provision for doubtful debt, _____ is debited.

A. Provision for doubtful debts account
B. Payable account
C. Receivable account
D. Doubtful debts account

Q.6 While preparing a Debtors Control Account, Credit side posted items cause:

A. Increase in creditors' balance
B. Both increase and decrease in debtors' balance
C. Decrease in debtors' balance
D. Increase in debtors' balance

Q.7 Control accounts are maintained for all of the following EXCEPT:

A. Trade receivables

B. Depreciation

C. Inventory

D. Trade payables

Q.8 If cost of equipment is Rs. 108,000, useful life is 10 years and its residual value is Rs. 8,000. Then Deprecation for the 3rd year using straight line method is _____.

A. Rs. 8,000

B. Rs. 8,820

C. Rs. 9,800

D. Rs. 10,000

Q.9 In case of creating the provision for discount on debts, _____ is debited.

A. Provision account

B. Discount allowed account

C. Discount received account

D. Receivable account

Q.10 In case of discount allowed to debtors, _____ is debited.

A. Receivable account

B. Doubtful debts account

C. Trade discount account

D. Discount allowed account

Q.1 Debtors which might become bad in future is known as_____.

A. Bad debt
B. Doubtful debt
C. Long term debts
D. Sundry debtors

Q.2 Advance payment at the end of the period is treated as:

A. Assets
B. Income
C. Liability
D. Drawings

Q.3 _____ is posted in credit side of debtors account.

A. None of the given options
B. Balance b/f of debtors
C. Trade discount
D. Purchases return

Q.4 While preparing a Debtors Control Account, Debit side posted items cause:

A. Increase in debtors' balance
B. Increase in creditors' balance
C. Both increase and decrease in debtors' balance
D. Decrease in debtors' balance

Q.5 Expense account is closed at the end of the accounting period in:

A. Income account
B. Balance sheet
C. General Journal
D. Income statement

Q.6 Expenses paid in advance at the end of the period is treated as:

A. Drawings
B. Income
C. Assets
D. Liability

Q.7 Irrecoverable debts are also known as:

A. Long term debts

B. Short term debts

C. Bad debts

D. Doubtful debts

Q.8 Expenses paid but the benefit is not received till the end of the accounting period is treated in balance sheet as:

A. Drawing

B. Asset

C. Capital

D. Liability

Q.9 _____ is posted in credit side of debtors account.

A. Sales return and discount allowed

B. Cash purchases and credit purchases

C. Purchases return and discount allowed

D. Cash sales and credit sales

**Q.10 Under one account method, a separate ledger account of particular income is not maintained. **

A. True

**B. False **

MGT101 - Quiz No.03

Date: 05 January 2026

Q.1 While preparing a Creditors Control Account, Credit side shows the items that will cause:

A. Decrease in creditors' balance

B. Increase in creditors' balance

C. Increase in debtors' balance

D. Both increase and decrease in creditors' balance

Q.2 Sales Rs. 500, Returns outwards Rs. 50, Gross Profit Rs. 100, Net Sales =?

A. Rs. 650

B. Rs. 550

C. Rs. 450

D. Rs. 500

Q.3 Purchase return account is a/an _____.

A. Income item

B. Expense item

C. Contra item

D. Liability item

Q.4 Expenses = ?

A. Assets + profit

B. Profit – capital

C. Profit + income

D. Income – profit

Q.5 A creditors' control account is used to record all the transactions related to:

A. Cash purchases

B. Credit purchases

C. Cash sales

D. Credit sales

Q.6 Expired portion of direct cost is a part of_____.

A. Financial expense

B. Operating expense

C. Cost of sales

D. Selling expense

Q.7 Unconsumed office supplies are considered as:

A. Selling expense

B. Financial expense

C. Admin expense

D. Inventory

Q.8 A receivables ledger control account had a closing balance of Rs.9,000. A cheque received from a debtor of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

A. Rs. 8,500 debit

B. Rs. 8,000 debit

C. Rs. 9,500 debit

D. Rs. 10,000 debit

Q.9 Mr. A recorded a cash payment of Rs.300,000 as salaries. Both the salaries and cash account were debited. What would be the debit effect of journal entry to rectify this error, if there is suspense account in trial balance?

A. Bank account

B. Salaries account

C. Suspense account

D. Cash account

Q.10 Which of the following is an error of principle?

A. A payment to a debtor Mr. A is recorded in the account of another debtor Mr. B

B. Bank charges being deducted by the bank without our knowledge

C. A receipt of Rs. 50,000 from a debtor is recorded as Rs. 5,000 in his account

D. Purchase of vehicle is recorded in repairs account

Q.1 If a fixed asset is purchased for Rs. 100,000 and payment is made through cheque; then which of the following account will be credited?

A. Cash account

B. Fixed asset account

C. Bank account

D. Debtor account

Q.2 In case of recovery of bad debts, _____ is credited.

A. Doubtful debts account

B. Debts account

C. Bad debts recovered account

D. Bank account

Q.3 Income account is closed at the end of the accounting period in:

A. Income statement

B. General Journal

C. Balance sheet

D. Expense account

Q.4 Rent income account should be debited due to:

A. Rent receivable opening

B. Rental income received

C. Balance sheet account

D. Rent receivable closing

Q.5 Matching principle is applied in:

A. None of the given options

B. Both accrual and cash basis

C. Accrual basis

D. Cash basis

Q.6 Expenses paid in advance at the end of the period is treated as:

A. Drawings

B. Income

C. Assets

D. Liability

Q.7 All of the following are the deprecation methods for tangible fixed assets EXCEPT:

A. Indirect method

B. Reducing balance method

C. Straight line method

D. Sum of years digit method

**Q.8 Under one account method, a separate ledger account of particular income is not maintained. **

A. False

**B. True **

Q.9 Income received in advance at the end of the period is treated as:

A. Drawings

B. Liability

C. Asset

D. Income

Q.10 All of the following items may appear in Trade receivable control account EXCEPT:

A. Discount allowed

B. Bad debts

C. Cash received from debtors

D. Credit Purchases

Q.1 In case of decrease in provision for doubtful debt, _____ is credited.

A. Payable account
B. Receivable account
C. Bad debts account
D. Provision account

Q.2 Accrued income at the end of the period is treated as:

A. Expense
B. Liability
C. Drawings
D. Asset

Q.3 Rent receivable account should be credited due to:

A. Profit and loss
B. Balance c/f
C. Balance sheet
D. Balance b/f

Q.4 While preparing a Creditors Control Account, Debit side shows the items that will cause:

A. Increase in debtors' balance
B. Increase in creditors' balance
C. Both increase and decrease in creditors' balance
D. Decrease in creditors' balance

Q.5 If cost of a plant is Rs. 90,000, total estimated output is 30,000 units and units produced during year 2019 are 7,000. Then calculate deprecation for year 2019 if deprecation rate per unit is Rs. 3.

A. Rs. 90,000
B. Rs. 180,000
C. Rs. 21,000
D. Rs. 270,000

Q.6 Expenses incurred but not yet paid till the end of the accounting period is treated in balance sheet as:

A. Drawing
B. Liability
C. Asset
D. Capital

Q.7 In case of creating provision for doubtful debt, _____ is debited.

A. Payable account

B. Receivable account

C. Bad debts account

D. Provision account

Q.8 _____ is posted in credit side of debtors account.

A. Cash purchases

B. Receipts from debtors

C. Trade discount

D. Credit purchases

Q.9 Expenses paid but the benefit is not received till the end of the accounting period is treated in balance sheet as:

A. Liability

B. Drawing

C. Asset

D. Capital

Q.10 Control accounts are maintained for all of the following EXCEPT:

A. Inventory

B. Trade receivables

C. Trade payables

D. Depreciation

Q.1 The useful life of tangible fixed assets is:

A. More than 6 month

B. Less than one year

C. More than one year

D. Less than 6 months

Q.2 ABC Corporation has recently purchased a used production plant. Its purchase price is Rs. 100,000; cost incurred to remove plant from site Rs. 4,000 and installation cost is Rs. 5,000. It will be initially recognized in books at Rs. _____.

A. Rs. 104,000

B. Rs. 100,000

C. Rs. 109,000

D. Rs. 105,000

Q.3 _____ is credited for closing the salaries expense for the period.

A. Salaries income

B. Salaries expense

C. Accrued Salaries

D. Income statement

Q.4 In case of writing off debtors as bad debt, _____ is debited.

A. Provision account

B. Payable account

C. Bad debts account

D. Receivable account

Q.5 Mostly, control accounts are maintained for:

A. Inventory

B. Trade receivables

C. Trade payables

D. All of the given options

Q.6 While preparing a Debtors Control Account, Credit side posted items cause:

A. Decrease in debtors' balance

B. Increase in debtors' balance

C. Both increase and decrease in debtors' balance

D. Increase in creditors' balance

Q.7 Income earned but not received till the end of the accounting period is treated in balance sheet as:

A. Liability
B. Drawing
C. Asset
D. Capital

Q.8 Rent receivable account should be debited due to:

A. Balance b/f
B. Cash received
C. Balance sheet
D. Balance c/f

Q.9 In case of decrease in provision for doubtful debt, _____ is credited.

A. Receivable account
B. Payable account
C. Provision account
D. Bad debts account

Q.10 Income received but not yet earned till the end of the accounting period is treated in balance sheet as:

A. Asset
B. Liability
C. Drawing
D. Capital

Q.1 Property, Plant and Equipment include:

A. Assets held for production of goods or services

B. All of the given options

C. Assets to be used in selling of goods or services

D. Assets used for administrative purposes

Q.2 If cost of a plant is Rs. 90,000, total estimated output is 30,000 units and units produced during year 2019 are 7,000. Then calculate deprecation for year 2019 if deprecation rate per unit is Rs. 3.

A. Rs. 21,000

B. Rs. 90,000

C. Rs. 270,000

D. Rs. 180,000

Q.3 A payables ledger control account had a closing balance of Rs.9,000. A credit purchase of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 10,000 credit

B. Rs. 8,000 credit

C. Rs. 8,500 credit

D. Rs. 9,500 credit

Q.4 If a fixed asset is purchased for Rs. 100,000 and payment is made through cheque; then which of the following account will be debited?

A. Bank account

B. Cash account

C. Fixed asset account

D. Debtor account

Q.5 If you are going to calculate the depreciation expense for the year, which of the following information must be gathered?

A. Deprecation method

B. All of the given information

C. Depreciation rate

D. Deprecation basis (time proportionate or full year basis)

Q.6 Expenses paid during the period should be mentioned in:

A. Receipt side of cash book

B. Payment side of cash book

C. Payment side of balance sheet

D. Expense side of balance sheet

Q.7 Which of the following is a Tangible fixed asset?

A. Outlet where products are displayed
B. Factory Workshop
C. Car held for rent
D. All of the given options

Q.8 _____ is credited for closing the salaries expense for the period.

A. Salaries expense
B. Salaries income
C. Income statement
D. Accrued Salaries

Q.9 In case of recovery of bad debts, _____ is debited.

A. Debts account
B. Bad debts recovered account
C. Bank account
D. Doubtful debts account

Q.10 In case of decrease in provision for doubtful debt, _____ is debited.

A. Doubtful debts account
B. Payable account
C. Receivable account
D. Provision for doubtful debts account

Q.1 In a trading concern, salaries of marketing staff is included in _____.

A. Cost of sales
B. Preliminary expense
C. Cost of goods sold
D. Operating expense

Q.2 Which of the following is an error of original entry?

A. A receipt of Rs. 50,000 from a debtor is recorded as Rs. 5,000 in his account
B. Bank charges being deducted by the bank without our knowledge
C. A payment to a debtor Mr. A is recorded in the account of another debtor Mr. B
D. Purchase of vehicle is recorded in repairs account

Q.3 Unconsumed direct supplies are considered as:

A. Selling expenses
B. Marketing expenses
C. Inventory
D. Admin Expenses

Q.4 Which one of the following is INCORRECT about closing stock?

A. It is deducted from material available for use
B. It reduces the resources of business
C. It becomes opening stock of next year
D. It is added into current assets

Q.5 Discount allowed to a debtor is credited under main head:

A. Income
B. Expenses
C. Assets
D. Liabilities

Q.6 All of the following items may appear in Trade payable control account EXCEPT:

A. Discount received
B. Purchases return
C. Bad debts
D. Cheques paid to creditors

Q.7 A payables ledger control account had a closing balance of Rs.9,000. A credit purchase of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 9,500 credit

B. Rs. 8,500 credit

C. Rs. 10,000 credit

D. Rs. 8,000 credit

Q.8 Purchases Rs. 500, Carriage outward Rs. 50, Gross Sales Rs. 700 and Gross Profit Rs. 100, Net Purchases =?

A. Rs. 500

B. Rs. 600

C. Rs. 650

D. Rs. 550

Q.9 Capital introduced by the owner is a _____.

A. Revenue Expenditure

B. Capital Expenditure

C. Capital Receipt

D. Revenue Receipt

MGT101 - Quiz No.03

Date: 05 January 2026

Q.1 All of the following items may appear in Trade receivable control account EXCEPT:

A. Credit Purchases

B. Cash received from debtors

C. Bad debts

D. Discount allowed

Q.2 Unconsumed shipping supplies are considered as:

A. Financial expense

B. Selling expense

C. Admin expense

D. Current asset

Q.3 Accumulated depreciation of furniture is a/an _____.

A. Contra asset account

B. Asset account

C. Expense account

D. Liability account

Q.4 Sole proprietor can prepare following financial statements as final accounts:

A. Balance sheet & notes to the financial statements

B. Balance sheet & income statement

C. Balance sheet & statement of cash flows

D. Balance sheet & statement of changes in equity

Q.5 Income = ?

A. Profit – expenses

B. Assets + profit

C. Loss + expenses

D. Expenses – profit

Q.6 Discount allowed to a debtor is Debited under main head:

A. Income

B. Assets

C. Expenses

D. Liabilities

Q.7 Consumed direct supplies are considered as:

A. Cost of sales

B. Selling expense

C. Admin expense

D. Financial expense

Q.8 In a manufacturing concern, rent of office building is included in _____.

A. Cost of sales

B. Preliminary expense

C. Cost of goods sold

D. Operating expense

Q.9 A receivables ledger control account had a closing balance of Rs.9,000. A dishonored cheque of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

A. Rs. 9,500 debit

B. Rs. 10,000 debit

C. Rs. 8,000 debit

D. Rs. 8,500 debit

Q.10 Sales Rs. 500, Returns inwards Rs. 50, Gross Profit Rs. 100, Net Sales =?

A. Rs. 550

B. Rs. 450

C. Rs. 650

D. Rs. 500

Q.1 Purchases Rs. 500, Returns outward Rs. 50, Gross Sales Rs. 700 and Gross Profit Rs. 100, Net Purchases =?

A. Rs. 550

B. Rs. 450

C. Rs. 650

D. Rs. 500

Q.2 A new accountant of ABC Corporation has prepared the trial balance. But there is difference in total of both sides of trial balance; such difference can be due to:

A. Under casting of a ledger account

B. Over casting of a ledger account

C. Omission of a particular account's balance in trial balance

D. All of the given options

Q.3 Sales Rs. 500, Returns outwards Rs. 50, Gross Profit Rs. 100, Net Sales =?

A. Rs. 650

B. Rs. 500

C. Rs. 550

D. Rs. 450

Q.4 Which of the following is a Revenue receipt?

A. Long term loan from bank

B. Purchase of a building

C. Payment of salaries

D. Sales revenue

Q.5 All of the following items may appear in Trade payable control account EXCEPT:

A. Cash paid to creditors

B. Credit purchases

C. Cash purchases

D. Discount received

Q.6 Discount received from a creditor is Debited under main head:

A. Assets

B. Income

C. Expenses

D. Liabilities

Q.7 A payables ledger control account had a closing balance of Rs.9,000. A discount received of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 10,000 credit

B. Rs. 8,000 credit

C. Rs. 8,500 credit

D. Rs. 9,500 credit

Q.8 Total factory cost = Prime cost + _____.

A. Other Direct cost

B. Factory overhead cost

C. Direct Material cost

D. Direct Labor cost

Q.9 Which of the following Organization converts raw material into finished goods?

A. Trading concern

B. Manufacturing concern

C. Merchandising concern

D. Service concern

Q.10 If some financial information is completely forgotten to record in the books of original entry, such error is known as:

A. Error of principle

B. Error of commission

C. Error of omission

D. Error of original entry

Q.1 A receivables ledger control account had a closing balance of Rs.9,000. A cheque received from a debtor of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

A. Rs. 10,000 debit

B. Rs. 8,500 debit

C. Rs. 9,500 debit

D. Rs. 8,000 debit

Q.2 Control accounts are maintained for all of the following EXCEPT:

A. Inventory

B. Trade receivables

C. Trade payables

D. Depreciation

Q.3 Income received during the period should be mentioned in:

A. Receipt side of balance sheet

B. Income side of balance sheet

C. Receipt side of cash book

D. Payment side of cash book

Q.4 In case of writing off debtors as bad debt, _____ is credited.

A. Payable account

B. Provision account

C. Doubtful debts account

D. Debtors account

Q.5 In case of discount allowed to debtors, _____ is debited.

A. Trade discount account

B. Receivable account

C. Discount allowed account

D. Doubtful debts account

Q.6 A creditors' control account is used to record all the transactions related to:

A. Credit sales

B. Credit purchases

C. Cash purchases

D. Cash sales

Q.7 At the end of the accounting period, income and expense accounts are closed in:

A. Asset account

B. General Journal

C. Income statement

D. Balance sheet

Q.8 In case of creating the provision for discount on debts, _____ is debited.

A. Provision account

B. Discount allowed account

C. Receivable account

D. Discount received account

Q.9 A payables ledger control account had a closing balance of Rs.9,000. A credit purchase of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 9,500 credit

B. Rs. 10,000 credit

C. Rs. 8,500 credit

D. Rs. 8,000 credit

Q.10 All of the following items appear on credit side of Trade receivable control account EXCEPT:

A. Cheques dishonored

B. Cash received from debtors

C. Bad debts

D. Discount allowed

Q.1 _____ is posted in debit side of debtors account.

A. Opening and closing balance of creditors

B. Credit sales and opening balance of debtors

C. Cash sales and credit sales

D. Cash and credit purchase

Q.2 Which of the following is TRUE regarding tangible fixed assets?

A. All of the given options

B. These are to be used over a period of time (in excess of one year)

C. Their cost can be measured reliably

D. There is probability of inflow of economic benefits in future

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Q.3 ABC Corporation has recently purchased a used production plant. Its purchase price is Rs. 100,000; cost incurred to remove plant from site Rs. 4,000 and installation cost is Rs. 5,000. It will be initially recognized in books at Rs. _____.

A. Rs. 109,000

B. Rs. 100,000

C. Rs. 105,000

D. Rs. 104,000

Q.4 Mostly, control accounts are maintained for:

A. All of the given options

B. Trade receivables

C. Trade payables

D. Inventory

Q.5 In case of discount allowed to debtors, _____ is credited.

A. Debtors account

B. Trade discount account

C. Creditors account

D. Doubtful debts account

Q.6 If a fixed asset is purchased for Rs. 100,000 and payment is made through cheque; then which of the following account will be debited?

A. Fixed asset account

B. Bank account

C. Cash account

D. Debtor account

Q.7 In case of recovery of bad debts, _____ is debited.

A. Bank account

B. Debts account

C. Bad debts recovered account

D. Doubtful debts account

Q.8 Which of the following is a Tangible fixed asset?

A. Factory Workshop

B. All of the given options

C. Outlet where products are displayed

D. Car held for rent

Q.9 Rent receivable account should be credited due to:

A. Opening balance

B. Profit and loss

C. Balance sheet

D. Closing balance

Q.1 Variables of Objective Measures may include:

A. Income

B. All of the given options

C. Education

D. Occupation

Q.2 Which of the technique take place within natural environment sometimes performed without subject's awareness?

A. Field Observations

B. Marketing research

C. Specialized Research Firms

D. Participant Observations

Q.3 Looking at sub cultural categories, Hindu, Muslim, Christian, etc comes under which of the following category?

A. Nationality

B. Age

C. Geographic Region

D. Religion

Q.4 Who should carefully monitor the sociocultural environment in order to market an existing product more effectively and to develop new products?

A. Cultural persons

B. Psychologists

C. Consumers

D. Marketers

Q.5 Older and retired people who's households are small and their need for new purchases is limited but they enjoy convenience in the marketplace are called:

A. Baby bloomers

B. Generation Y market

C. Senior citizens

D. Generation Z market

Q.6 Focusing upon the content of verbal, written and pictorial communications is said to be as:

A. Content analysis

B. Marketing analysis

C. Behavioral analysis

D. Correlation analysis

Q.7 The feeling of social group membership is referred as _____

A. Social reputation

B. Social affiliation

C. Social class

D. Class Consciousness

Q.8 People from which of following generation are health conscious, less materialistic in outlook and their product and service selections reflect their concern for the environment and quality of life?

A. Generation Y market

B. Baby bloomers

C. Generation X market

D. Generation Z market

Q.9 Generation Y age subculture in USA is around:

A. Between 1946 and 1964

B. Below 1946

C. Between 1977 and 1994

D. Between 1965 and 1979

Q.10 A distinct cultural group that exists as an identifiable segment within a larger, more complex society refers to:

A. Marketing culture

B. Sub-culture

C. Culture

D. Society

Q.11 All of the following items appear on debit side of Trade payable control account EXCEPT:

A. Credit purchases

B. Discount received

C. Cash paid to creditors

D. Purchases return

Q.12 If cost of equipment is Rs. 108,000, useful life is 10 years and its residual value is Rs. 8,000. Then Deprecation for the year using straight line method is _____.

A. Rs. 10,800

B. Rs. 800

C. Rs. 10,000

D. Rs. 100,000

Q.13 ABC Corporation has recently purchased a used production plant. Its purchase price is Rs. 100,000; cost incurred to remove plant from site Rs. 4,000 and installation cost is Rs. 5,000. It will be initially recognized in books at Rs. _____.

A. Rs. 109,000

B. Rs. 105,000

C. Rs. 104,000

D. Rs. 100,000

Q.14 Control accounts are usually maintained by:

A. Non-profit businesses

B. Partnerships

C. Sole proprietors

D. Large organizations

Q.15 If cost of a plant is Rs. 90,000, total estimated output is 30,000 units and units produced during year 2019 are 7,000. Then calculate deprecation for year 2019 if deprecation rate per unit is Rs. 3.

A. Rs. 180,000

B. Rs. 90,000

C. Rs. 270,000

D. Rs. 21,000

Q.16 Expenses incurred but not yet paid till the end of the accounting period is treated in balance sheet as:

A. Liability

B. Drawing

C. Asset

D. Capital

Q.17 A receivables ledger control account had a closing balance of Rs.9,000. Cash sales of Rs. 500 had been omitted to record in this control account. What should be the correct balance of receivables control account?

A. Rs. 8,500 debit

B. Rs. 9,000 debit

C. Rs. 9,500 debit

D. Rs. 8,000 debit

Q.18 _____ is posted in credit side of debtors account.

A. Return inwards

B. Cash sales

C. Return outwards

D. Total sales

Q.19 All of the following items may appear in Trade receivable control account EXCEPT:

A. Bad debts

B. Discount allowed

C. Credit Purchases

D. Cash received from debtors

Q.20 If cost of equipment is Rs. 108,000, useful life is 10 years and its residual value is Rs. 8,000. Then Deprecation for the 3rd year using straight line method is _____.

A. Rs. 8,000

B. Rs. 8,820

C. Rs. 10,000

D. Rs. 9,800

Q.1 In case of goods sold on credit basis, _____ is debited.

A. Bank account
B. Credit account
C. Debtors account
D. Debit account

Q.2 In case of recovery of bad debts, _____ is debited.

A. Debts account
B. Bad debts recovered account
C. Doubtful debts account
D. Bank account

Q.3 If you are going to calculate the depreciation expense for the year, which of the following information must be gathered?

A. Depreciation rate
B. Deprecation method
C. Deprecation basis (time proportionate or full year basis)
D. All of the given information

Q.4 Rent receivable account should be credited due to:

A. Balance sheet
B. Profit and loss
C. Balance b/f
D. Balance c/f

Q.5 _____ is posted in debit side of debtors account.

A. Cash purchase
B. Credit sales
C. Cash sales
D. Credit purchase

Q.6 Irrecoverable debts are also known as:

A. Short term debts
B. Bad debts
C. Long term debts
D. Doubtful debts

Q.7 True and fair performance of any business entity is measurable under:

A. Accrual basis

B. None of the given options

C. Cash basis

D. Both accrual and cash basis

Q.8 In case of creating provision for doubtful debt, _____ is debited.

A. Bad debts account

B. Provision account

C. Payable account

D. Receivable account

Q.9 All of the following items may appear in Trade payable control account EXCEPT:

A. Cash paid to creditors

B. Credit purchases

C. Cash purchases

D. Discount received

Q.10 All of the following items may appear in Trade receivable control account EXCEPT:

A. Discount allowed

B. Cash received from debtors

C. Bad debts

D. Credit Purchases

Q.1 In case of goods sold on credit basis, _____ is debited.

A. Bank account
B. Credit account
C. Debtors account
D. Debit account

Q.2 In case of recovery of bad debts, _____ is debited.

A. Debts account
B. Bad debts recovered account
C. Doubtful debts account
D. Bank account

Q.3 If you are going to calculate the depreciation expense for the year, which of the following information must be gathered?

A. Depreciation rate
B. Deprecation method
C. Deprecation basis (time proportionate or full year basis)
D. All of the given information

Q.4 Rent receivable account should be credited due to:

A. Balance sheet
B. Profit and loss
C. Balance b/f
D. Balance c/f

Q.5 _____ is posted in debit side of debtors account.

A. Cash purchase
B. Credit sales
C. Cash sales
D. Credit purchase

Q.6 Irrecoverable debts are also known as:

A. Short term debts
B. Bad debts
C. Long term debts
D. Doubtful debts

Q.7 True and fair performance of any business entity is measurable under:

A. Accrual basis

B. None of the given options

C. Cash basis

D. Both accrual and cash basis

Q.8 In case of creating provision for doubtful debt, _____ is debited.

A. Bad debts account

B. Provision account

C. Payable account

D. Receivable account

Q.9 All of the following items may appear in Trade payable control account EXCEPT:

A. Cash paid to creditors

B. Credit purchases

C. Cash purchases

D. Discount received

Q.10 All of the following items may appear in Trade receivable control account EXCEPT:

A. Discount allowed

B. Cash received from debtors

C. Bad debts

D. Credit Purchases

Q.1 Expired portion of direct cost is treated as:

A. Income

B. Expense

C. Liability

D. Cost

Q.2 A new accountant of ABC Corporation has prepared the trial balance. But there is difference in total of both sides of trial balance; such difference can be due to:

A. Over casting of a ledger account

B. Omission of a particular account's balance in trial balance

C. Under casting of a ledger account

D. All of the given options

Q.3 A payables ledger control account had a closing balance of Rs.9,000. A discount received of Rs. 500 had been omitted to record in this control account. What should be the correct balance of payables control account?

A. Rs. 8,500 credit

B. Rs. 10,000 credit

C. Rs. 9,500 credit

D. Rs. 8,000 credit

Q.4 Discount allowed to a debtor is credited under main head:

A. Expenses

B. Income

C. Liabilities

D. Assets

Q.5 If some financial information is completely forgotten to record in the books of original entry, such error is known as:

A. Error of omission

B. Error of principle

C. Error of original entry

D. Error of commission

Q.6 Unconsumed office supplies are considered as:

A. Inventory

B. Admin expense

C. Selling expense

D. Financial expense

Q.7 Sales return account is a/an _____.

A. Purchase item

B. Contra item

C. Liability item

D. Expense item

Q.8 All of the following items may appear in Trade payable control account EXCEPT:

A. Cheques paid to creditors

B. Bad debts

C. Purchases return

D. Discount received

Q.9 Income = ?

A. Profit – expenses

B. Loss + expenses

C. Assets + profit

D. Expenses – profit

Q.10 When correct accounting effect (Dr/Cr) is given in the wrong accounting head but the main head remains correct, is known as:

A. Error of omission

B. Error of principle

C. Error of original entry

D. Error of commission
